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G10 FX Strategy

Another ECB Hike Would Likely Strengthen the EUR

Rising yields usually lift a currency; FX tends to weaken mainly when policy turns restrictive enough to hurt growth or if higher yields signal fiscal risk. Neither applies to the EUR today. We expect a tighter ECB to be EUR-positive.

Key Takeaways

- Higher yields typically strengthen a currency, unless they signal a growth-damaging policy stance or rising concern about public debt sustainability.
- Currencies can underperform after policy turns restrictive, but with a lag and after first gaining into restriction; the effect varies widely across episodes.
- Markets are not pricing ECB restriction deep enough to weaken EUR: Germany's 1y–5y spread is -78bp, near-term rates are still below long-run nominal levels.
- EUR has risen with European yields in recent quarters, unlike the fiscal-risk pattern seen in the UK and Japan.
- A key risk to EUR remains periphery fragmentation. Widening OAT-Bund and BTP-Bund spreads would be a signal that markets are starting to price EA fiscal risk.

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Currency & Foreign Exchange

G10 | Another ECB Hike Would Likely Strengthen the EUR

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Higher domestic yields generally support a currency, but the reason yields are rising matters:

- When yields rise because expected growth, central bank rates, or long-term return expectations increase, domestic assets become more attractive and the currency typically strengthens.
- Higher front-end rates also raise the cost of FX hedging for foreign investors, which can strengthen the currency if they choose to hedge a smaller share of their exposure.

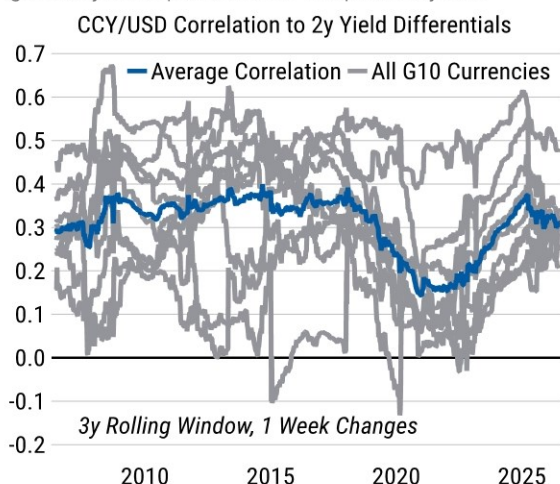
The relationship can reverse, however, when higher yields signal economic or fiscal risk rather than improved expected returns.

We focus on two circumstances most relevant to the current G10 debate in which rising rates may weaken a currency:

- When monetary policy becomes restrictive enough to materially damage growth, and
- When higher yields increase concerns about the sustainability of public debt.

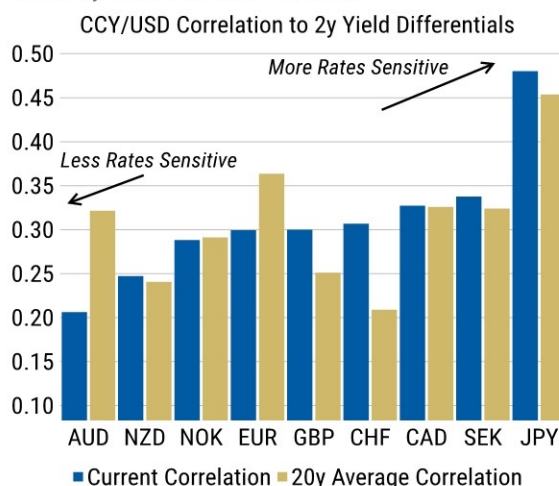
[Exhibit 1](#) shows that FX correlations to front-end rate differentials have generally been positive for the past 20 years. Commodity exporting, risk-sensitive currencies like AUD and NOK have generally been less rates sensitive than JPY, where rates have historically been lower than the G10 average ([Exhibit 2](#)).

Exhibit 1: Front-end rate correlations to FX have generally been positive over the past 20 years



Source: Bloomberg, Macrobond, Morgan Stanley Research

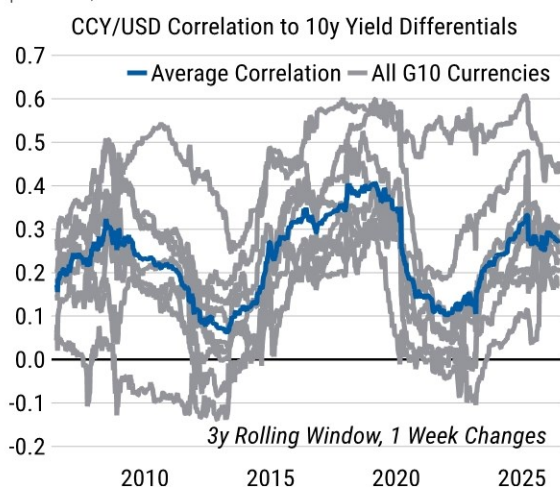
Exhibit 2: JPY is the most rates-sensitive G10 currency; AUD and NOK the least



Source: Bloomberg, Macrobond, Morgan Stanley Research

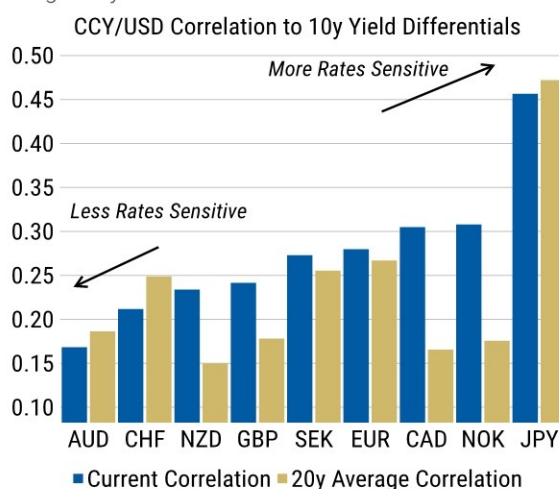
FX correlations to longer term rates have generally been positive, but more variable ([Exhibit 3](#)). JPY has historically been relatively highly correlated with long-end yield differentials ([Exhibit 4](#)), although its correlation has declined in recent months.

Exhibit 3: Long-end rate correlations are also positive, but more variable over time



Source: Bloomberg, Macrobond, Morgan Stanley Research

Exhibit 4: JPY again screens as most correlated to long-end yield differentials



Source: Bloomberg, Macrobond, Morgan Stanley Research

These correlations have entered market focus in recent weeks as investors have debated whether a tighter ECB policy rate would benefit the EUR.

Some investors have questioned whether further ECB tightening would boost the EUR. These investors reason that a higher ECB policy rate might weaken the EUR if a higher policy rate intensifies market concerns about the growth outlook for the Euro Area.

This concern is fundamentally about sentiment: the risk that a hawkish ECB sours the growth outlook before any growth damage materializes. We test a measurable version of that concern: whether market pricing of restrictive policy has historically coincided with or been followed by currency weakness.

Transmission Channel 1: Growth Slowdown

A relatively restrictive stance of policy is associated with future currency underperformance. [Exhibit 5](#) shows forward G10 currency returns over a 1m to 12m horizon after a month when a central bank was restrictive.

We measure market-implied policy restriction using the spread between the local 1-year yield and the local 5y5y forward yield.

- The 1-year yield captures expectations for near-term policy rates,
- The 5y5y forward yield provides a market-based proxy for the neutral rate (where markets expect policy to settle once the current cycle has passed).

A significantly positive spread (the 1-year yield exceeding the 5y5y forward yield) therefore suggests that current policy is restrictive relative to where markets expect it to settle over the long run. The measure is imperfect, since the 5y5y forward yield also embeds a term premium, but it provides a consistent, market-based comparison across countries and over time.

Currency performance tends to deteriorate after policy becomes deeply restrictive, although the effect emerges with a lag and varies considerably across episodes.

- The average subsequent underperformance is larger at more restrictive thresholds
- Results should be interpreted cautiously because prolonged periods of restriction create overlapping monthly observations.

For example, currencies underperformed average G10 returns versus the USD by -0.3% over the three months after a central bank was at least 0.5pp restrictive (n = 230).

- Currencies underperformed *more* when the central bank was at least 1.0pp restrictive (from -0.3% to -0.4%, n = 96). The domestic currency underperformed by -0.9% over 3 months and -2.5% over twelve months when the central bank was at least 1.5pp restrictive (n = 36).
- We provide results from a recent period (past 15 years) for comparison.

There are multiple potential explanations for currency weakness following policy restriction, including:

- An inverted yield curve (1y yield > 5y5y forward yield) is usually consistent with cuts priced within the next 12 months, and the domestic currency weakens as those cuts are delivered.
- Policy restriction slowed down domestic growth, discouraging capital flows and weakening the currency

Exhibit 5: Currencies underperform *after* policy becomes restrictive

	Degree of Restriction	Subsequent Relative CCY/USD Performance (Average)				
		1m	3m	6m	12m	# obs.
1995 - 2026	> 0.0	0.0%	-0.1%	-0.4%	-0.6%	425
	> 0.5	0.0%	-0.3%	-0.6%	-1.1%	230
	> 1.0	-0.1%	-0.4%	-0.7%	-0.5%	96
	> 1.5	-0.3%	-0.9%	-2.2%	-2.5%	36
		1m	3m	6m	12m	# obs.
2011 - 2026	> 0.0	0.1%	0.1%	0.1%	0.4%	187
	> 0.5	0.0%	-0.2%	-0.1%	0.2%	99
	> 1.0	0.0%	-0.2%	-0.4%	-0.4%	26
	> 1.5	0.0%	-0.3%	-0.8%	-0.8%	7

Source: Bloomberg, Macrobond, Morgan Stanley Research

Exhibit 6: Currencies outperform *into* policy restriction

	Degree of Restriction	Prior Relative CCY/USD Performance (Average)				
		1m	3m	6m	12m	# obs.
1995 - 2026	> 0.0	0.0%	0.2%	0.4%	0.8%	425
	> 0.5	0.0%	0.1%	0.4%	1.2%	230
	> 1.0	0.1%	0.1%	0.3%	1.0%	96
	> 1.5	0.1%	0.9%	0.4%	0.4%	36
		1m	3m	6m	12m	# obs.
2011 - 2026	> 0.0	0.1%	0.2%	0.5%	0.8%	187
	> 0.5	0.0%	0.2%	0.5%	1.2%	99
	> 1.0	0.1%	0.1%	0.4%	2.2%	26
	> 1.5	-0.2%	-0.2%	0.7%	-0.3%	7

Source: Bloomberg, Macrobond, Morgan Stanley Research

On the other hand, we find that currencies *outperformed* average G10 returns in the months *leading up to* restriction. [Exhibit 6](#) shows the inverse of [Exhibit 5](#). Instead of illustrating returns after months when policy was restrictive, [Exhibit 6](#) shows relative currency performance in the period prior to restriction.

One challenge with the simplified approach above is that long periods of restriction create multiple overlapping observations in [Exhibit 5](#) and [Exhibit 6](#). To de-duplicate episodes of restriction, [Exhibit 7](#) shows relative FX performance before and after the first month the 1y - 5y5y spread became at least 100bp inverted in a 13 month period.

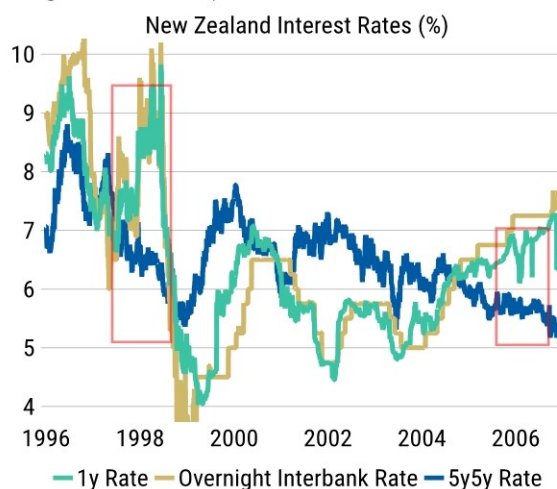
On average, currencies outperformed as central banks hiked into restriction (average relative performance = 3.7%), and then underperformed in the 12 months afterwards (average = -0.8%).

However, there was considerable heterogeneity across these episodes. Much of the post-restriction average underperformance is attributable to two episodes in New Zealand: the year following November 1997 and December 2005.

Exhibit 7: Relative currency performance before and after episodes of 100bp restriction

Restriction Month	Currency	Prior 12m	Following 12m
December 2023	CAD	2.2%	-0.6%
July 2023	CHF	8.0%	2.1%
July 2023	EUR	7.2%	-0.7%
July 2023	GBP	5.7%	1.1%
May 2023	NZD	-0.6%	-0.5%
November 2022	CAD	7.0%	-2.4%
December 2005	NZD	6.9%	-10.5%
December 2000	GBP	0.3%	0.5%
November 1999	GBP	-0.2%	2.5%
February 1998	GBP	7.7%	-0.6%
November 1997	NZD	-2.7%	-13.3%
July 1996	NZD	4.2%	6.2%
April 1995	NZD	2.2%	6.4%
Average:		3.7%	-0.8%

Source: Bloomberg, Macrobond, Morgan Stanley Research

Exhibit 8: The RBNZ hiked front-end rates even as longer-term rate expectations drifted lower

Source: Macrobond, Morgan Stanley Research

During both periods, the RBNZ tightened rates even as growth risks loomed and longer term policy expectations drifted lower ([Exhibit 8](#)).

The RBNZ's tightening in 1997 was in part a *result* of NZD weakness. At the time, the

quickly, or a large share of debt payments is linked to inflation. Investors may conclude that the government will eventually need to raise taxes, reduce spending, tolerate higher inflation, or rely on central bank support.

Each of these outcomes can weigh on the currency. Fiscal tightening can weaken growth, while inflation or central bank financing can reduce the expected real return on domestic assets.

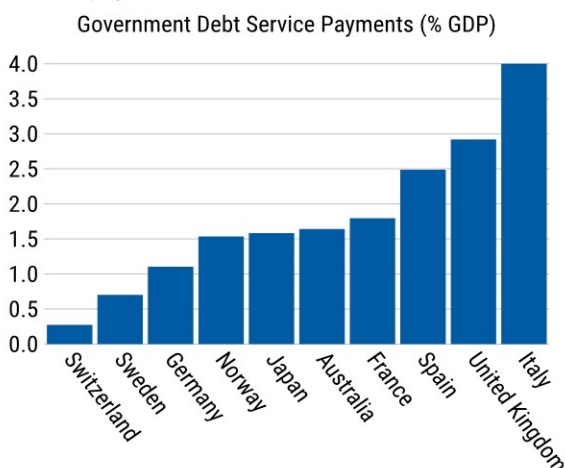
Debt sustainability concerns have been most visible in the UK and Japan in recent years.

In the **UK**, government debt service costs are relatively high as a share of GDP ([Exhibit 11](#)). The UK's large stock of inflation-linked debt also means that higher inflation can raise government interest costs relatively quickly.

In **Japan**, debt service payments are relatively modest relative to the size of the domestic economy, but investors have focused more on the expected *future* path of debt service costs.

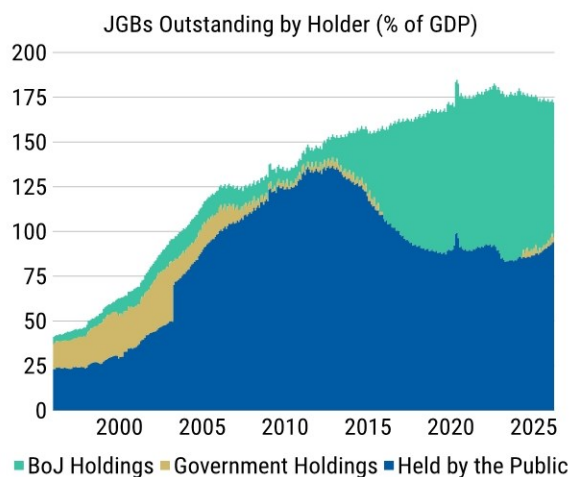
At around 94% of GDP, the stock of JGBs held by the public is not significantly out of line with other G10 economies. However, the [potential for additional issuance](#) combined with the BoJ's ongoing reduction in the size of its balance sheet (see these [BoJ projections](#)) have raised market concern. Some investors believe that Japan's rising stock of debt held by the public ([Exhibit 12](#)) means that a rise in inflation and JGB yields could materially increase interest expenses as government debt is refinanced.

Exhibit 11: Italy and the UK face the highest debt service payments relative to GDP



Source: Macrobond, Morgan Stanley Research

Exhibit 12: JGBs held by the public have risen as a share of GDP as the BoJ shrinks its balance sheet



Source: Macrobond, Morgan Stanley Research

While we believe the primary driver of JPY weakness is the broad perception that the BoJ remains behind the curve (particularly relative to other major central banks that are viewed as being closer to a neutral policy stance), concerns about fiscal sustainability can create a negative relationship between long-end yields and the currency. Instead of attracting capital and strengthening the currency, higher yields become a signal of perceived fiscal risk.

There have been extended periods in recent years when GBP has traded inversely with UK-EU long-end OIS differentials, and JPY inversely with foreign-Japan long-end OIS differentials ([Exhibit 13](#) and [Exhibit 14](#)). During these periods, an increase in yields was

associated with a weaker domestic currency.

Both [Exhibit 13](#) and [Exhibit 14](#) use the same y-axis scale for comparability.

Exhibit 13: GBP has traded inversely with UK–EU long-end differentials in recent years

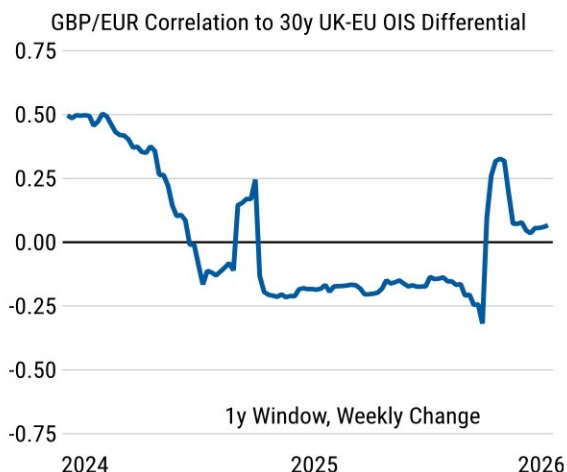
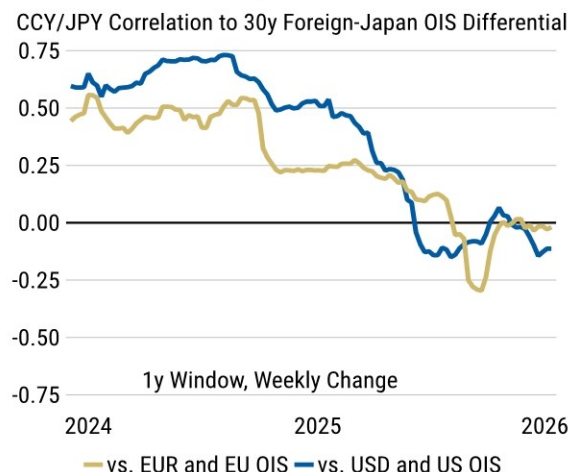


Exhibit 14: JPY has traded inversely with foreign–Japan long-end differentials



A negative correlation does not necessarily mean that fiscal concerns caused every move in rates or FX. However, a sustained negative relationship can indicate that investors view higher yields as compensation for risk rather than evidence of stronger growth or higher expected returns.

Transmission Channels Applied to EUR

We think neither of these transmission channels apply to the EUR. As a result, we do not expect that a tighter stance of ECB policy would weaken the EUR.

On the first transmission channel: The Euro Area yield curve does not suggest that the ECB has tightened to a degree that would negatively affect the domestic currency. Norway is the only economy in G10 where the 1y yield is above the 5y5y forward yield; the German spread is -78bp ([Exhibit 15](#)).

While positive, the degree of market-implied restriction in Norway appears modest and probably does not represent a meaningful threat to NOK. Currencies have historically only moderately underperformed on average when the 1y rate rose above the 5y5y forward rate.

Note that upward sloping curves may be accentuated by term premium. If large term premiums distort the signal regarding where markets have priced the neutral rate, the 1y spread to the 5y5y forward yield may be negative even if the central bank is perceived to be restrictive.

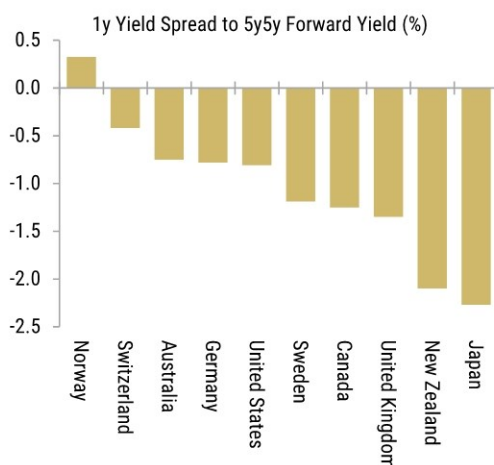
One caveat: after adjusting the 5y5y rate by our roughly 128bp estimate of the German 10-year term premium (see MSDETP10 Index on Bloomberg), the spread between near-term and long-term pricing does suggest that the ECB may be closer to neutral, or slightly restrictive, than the raw -78bp spread implies.

Stripping a premium of that size from the 5y5y forward puts the German 1y around 50bp

above the estimated neutral rate rather than below it ($-78\text{bp} + \sim 128\text{bp} \approx +50\text{bp}$). We would not put much weight on a precise level: a 10-year term premium is not the right input for a 5y5y forward, and the appropriate figure is uncertain.

Moreover, the implied term-premium adjusted degree of ECB restriction is modest. $\sim 50\text{bp}$ of restriction sits toward the lower end of the thresholds in [Exhibit 5](#), well short of the $\sim 100\text{--}150\text{bp}$ of restriction that our historical results associate with meaningful subsequent currency weakness. At these moderate levels of restriction, that same history shows little reliable underperformance (particularly in the post-2011 sample) and what weakness does emerge arrives only with a six- to twelve-month lag.

Exhibit 15: Norway is the only G10 economy with a positive 1y–5y5y spread



Source: Bloomberg, Macrobond, Morgan Stanley Research

Exhibit 16: EUR has strengthened as European yields rose relative to Switzerland
EUR/CHF Correlation to 30y EU-Switzerland OIS Differential



Source: Bloomberg, Macrobond, Morgan Stanley Research

On the second transmission channel: We have not recently observed an adverse relationship between rates and FX in the Euro Area. The EUR has generally strengthened when European yields have risen ([Exhibit 16](#)).

[Exhibit 16](#) compares EUR/CHF with European-Swiss yield differentials. Switzerland provides a useful comparison because investors generally have limited concerns about Swiss public debt sustainability, meaning that changes in the relationship should primarily reflect developments on the Euro Area side.

As shown in [Exhibit 11](#), while German and French debt service payments look relatively manageable, Spain and Italy's debt services payments look somewhat elevated relative to GDP.

However, as discussed [here](#) we do not see pressure for higher European yields stemming from expansionary fiscal policy, increased supply, or deteriorating credit, and expect EU fiscal rules to incentivize governments against fiscal slippage over time.

Our economists note [here](#) that Italy has historically run primary surpluses (averaging around 1.5% of GDP over 2015-19) and has consistently returned to surplus following periods of expansion. And Spain's near-term position has improved, with the deficit falling to around 2.4% of GDP in 2025 from 3.2% a year earlier, allowing its debt ratio to dip below 100%.

Periphery fragmentation remains the clearest risk to this view that tighter ECB policy will be EUR positive. We watch OAT-Bund and BTP-Bund spreads as the signal that markets are beginning to price fiscal risk into yields, which is likely the point at which the adverse rates-FX channel would assert itself.

Overall, the takeaway from this survey of debt sustainability concerns:

- Higher yields can weaken a currency when they raise expected debt service costs faster than they improve expected investment returns. Currencies may weaken when investor concerns rise that nominal growth will not keep pace with the government's interest burden.
- The UK and Japan have shown periods of this adverse rates-FX relationship. We do not currently see similar evidence for the EUR, and we do not expect this relationship to change in the near term.

As a result, we expect a tighter stance of ECB policy to boost the EUR, for several reasons:

- As discussed above, a restrictive stance of central bank policy *can* weaken the domestic currency. But the domestic currency outperforms on average as the central bank hikes into restriction, and currency weakness comes later.
- That currency weakness arrives with a lag, typically over the 6–12 months after restriction is reached.
- Even adjusting for term premium, the implied degree of ECB restriction is modest. We think it is well short of the ~100–150bp levels this measure associates with meaningful weakness.
- And even if ECB restriction were to build further, the pattern implies EUR would rise as the ECB tightens (as we expect), with any weakness arriving 6–12 months later rather than priced in today.

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(as of June 30, 2026)

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For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O or Over) - The stock's total return is expected to exceed the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis over the next 12-18 months.

Equal-weight (E or Equal) - The stock's total return is expected to be in line with the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis over the next 12-18 months.

Not-Rated (NR) - Currently the analyst does not have adequate conviction about the stock's total return relative to the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U or Under) - The stock's total return is expected to be below the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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